Module V

Fiscal deficit and Inflation in India, Measurement of Poverty and Unemployment

1. Discussion based on the trends in fiscal deficit and inflation in India

Fiscal Deficit

Definition: Fiscal deficit is the gap between the government's total expenditure and its total revenue (excluding borrowings). It represents how much the government needs to borrow to meet its expenses.

Recent Trends:

Post-2010s: India has generally maintained fiscal deficit around 3–4% of GDP, aligning with the Fiscal Responsibility and Budget Management (FRBM) Act targets, though deviations have occurred during crises.

During COVID-19 (2020-21): Fiscal deficit surged to ~9–10% of GDP due to higher spending on health, social security, and economic stimulus measures.

Recovery Phase: Gradual reduction to ~6–6.5% of GDP, aiming for FRBM-compliant levels.

Causes of Fluctuations:

Revenue Shortfall: Lower tax collection, GST shortfalls, or slowdown in economic activity.

Expenditure Pressure: Subsidies, welfare schemes, infrastructure spending.

Counter-cyclical Policies: Expansionary fiscal policy during recessions increases deficits temporarily.

Implications:

Short-term: Stimulates demand, supports growth during crises.

Long-term: Persistent high deficits can crowd out private investment, raise interest rates, and increase debt servicing burden.

fiscal Year	Fiscal Deficit as % of GDP	Amount (₹ Crore)	Notes
2021–22	6.71%	₹16.85 lakh crore	Lower than the revised estimate of 6.9%
2022–23	6.4%	₹16.54 lakh crore	Targeted at 6.4%
2023–24	5.6%	₹16.55 lakh crore	Actuals reported
2024–25	4.8%	₹16.13 lakh crore	Budgeted estimate
2025–26	4.4%	₹15.69 lakh crore	Projected target

 Key Observations:

Post-Pandemic Recovery: The fiscal deficit has gradually decreased from a peak of 9.5% in FY2020–21 to 5.6% in FY2023–24, reflecting efforts towards fiscal consolidation.

Budgeted vs. Actuals: The actual fiscal deficit for FY2023–24 was slightly lower than the revised estimate of 5.8%, indicating

better-than-expected fiscal management.

Future Projections: The government aims to reduce the fiscal deficit to 4.4% of GDP in FY2025–26, aligning with its long-term fiscal consolidation roadmap .

Inflation Trends

Definition: Inflation is the sustained rise in general price levels, measured by indices like CPI (Consumer Price Index) or WPI (Wholesale Price Index).

Recent Trends in India:

Pre-COVID: Moderate inflation around 3–5%, within RBI's target (4% ±2%).

During COVID: Sharp fluctuations due to supply chain disruptions, food price volatility, and fiscal stimulus.

Post-COVID: Inflation rose again (~5–7%) due to global commodity price shocks, supply constraints, and energy price increases.

Year	Annual Inflation Rate
2021	5.1%
2022	6.7%
2023	5.6%
2024	5.1%
2025	2.6% (projected)

Key Drivers:

Demand-pull: Recovery in consumption after pandemic-induced slowdown.
Cost-push: Rising crude oil prices, supply chain disruptions.
Monetary-fiscal Interaction: Large fiscal deficit can be inflationary if financed by central bank borrowing.

Implications:

Moderate inflation is healthy for growth.

High inflation erodes purchasing power, affects savings, and may force RBI to raise interest rates, potentially slowing growth.

Relationship between Fiscal Deficit and Inflation

1. Direct Link: High fiscal deficits can be inflationary if financed by money creation (printing currency). Example: deficit monetization during crises may lead to higher inflation.

2. Indirect Link: Deficit-funded spending boosts demand; if supply is inelastic, prices rise (demand-pull inflation).

3. Global Commodity Dependence: In India, import of crude oil and food items links fiscal and inflation trends with international prices.

Empirical Observations in India:

2008–09 Global Crisis: Fiscal expansion maintained growth; inflation was manageable due to low demand.

2020–22 Pandemic: High fiscal deficit + supply disruptions caused inflationary pressures, though temporarily.

Current Scenario: Government aims to reduce deficit gradually while RBI manages inflation through monetary policy (interest rate hikes or liquidity adjustments).

Policy Considerations

For Fiscal Deficit:

- Gradual reduction to FRBM targets to ensure debt sustainability.
- Enhance revenue through tax reforms, widening the base.
- Prioritize capital expenditure over revenue expenditure for growth.

For Inflation:

- Targeted subsidy reforms to reduce cost-push pressures.
- Strengthen supply chains for essential goods.

- Coordinate fiscal and monetary policies to avoid conflicting objectives.

II. A simple project for the measurement of poverty using MRP method in a ward of LSG

Project Title:

"Estimation of Poverty using the MRP Method"

Step 1: Define Objectives

Clearly specify the aims of your project. Example objectives:

To estimate income levels in a region using labor productivity (MRP).

To identify the population below the poverty line based on income shortfalls.

To analyze sectoral or regional poverty patterns.

Step 2: Literature Review

Study previous research on poverty measurement (e.g., Tendulkar, Rangarajan methods in India).

Understand MRP method: how the marginal productivity of labor translates into earnings.

Review official data sources: NSSO, CMIE, Census, Labour Bureau.

Step 3: Data Collection

1. Select the Study Area or Sector: e.g., rural households in a district, or workers in agriculture/manufacturing.

2. Primary Data: Surveys on employment, wages, and work hours.

3. Secondary Data: Official statistics on output, prices, and employment.

Step 4: Understanding MRP Method in Poverty Context

Concept: MRP represents the value of additional output produced by a worker.

Calculation:

MRP = MPP \times MR

MPP: Marginal Physical Product of labor (additional output per worker)

MR: Market price of output

Link to Poverty: If MRP < subsistence wage or poverty line income, the worker is considered under poverty.

Step 5: Data Analysis

1. Compute MPP: Measure output change as labor input increases.

2. Compute MRP: Multiply MPP by the price of output.

3. Compare with Poverty Line:

If MRP ≥ Poverty Line Wage → worker is above poverty.

If MRP < Poverty Line Wage → worker is below poverty.

4. Aggregate Results: Estimate the percentage of workers below the poverty line.

Step 6: Presentation of Results

Tables & Graphs: Show MRP of workers vs. poverty line.

Sectoral Analysis: Identify which sectors/regions have higher poverty incidence.

Discussion: Explain reasons: low productivity, low wages, unemployment, skill mismatch.

Step 7: Conclusion & Recommendations

Summarize findings: poverty rate, sectoral distribution.

Suggest policy interventions: skill training, wage support, employment programs.

Step 8: References

Government data sources: NSSO, Labour Bureau, Ministry of Rural Development.

Research papers on MRP and poverty analysis.

Step 9: Appendices

Raw data tables, calculations of MPP and MRP.
Survey questionnaires (if primary data collected).
Stepwise calculation comparing MRP and poverty line income.

III. A simple project for the measurement of unemployment in the local territory using any one of the methodology.

1. Concepts and Definitions

Unemployed: People who are willing and able to work, actively seeking a job, but cannot find one.

Labor Force: Total number of people employed + unemployed (excluding children, retirees, and others not seeking work).

Unemployment Rate: A percentage expressing the ratio of unemployed people to the total labor force.

2. Methods of Measuring Unemployment

A. Census Method (or Direct Enumeration)

Government collects data on employment/unemployment through a population census or survey. Every individual's employment status is recorded.

Advantages: Accurate if done correctly; provides detailed info.

Disadvantages: Time-consuming, expensive, may be outdated quickly.

B. Sample Survey Method

Instead of counting everyone, a representative sample of households is surveyed.

Example: In India, the National Sample Survey (NSSO) conducts Employment and Unemployment Surveys.

Surveys classify persons as employed, unemployed, or out of labor force.

C. Registration Method

Uses data from employment exchanges where job seekers register.

Measures only those who register with employment offices.

Disadvantages: Not all unemployed register; underestimates actual unemployment.

D. Unemployment Rate Using Labor Force Surveys

- **Measures unemployment using current activity approach:**

1. Usually Active Population: People currently working or seeking work.

2. Current Status Approach: Considers employment/unemployment during a reference period (weekly, monthly, or yearly).

Provides a more dynamic picture of unemployment.

3. Types of Unemployment Measured

- Open/Visible Unemployment: People actively seeking jobs but not finding work.

- Disguised/Underemployment: People working below their capacity (common in rural areas).

- Seasonal Unemployment: Jobs unavailable in certain seasons (agriculture, tourism).

Frictional Unemployment: Short-term unemployment during job transitions.

4. Measurement Indicators

Unemployment Rate (UR) = Unemployed /Labour force*100

Labor Force Participation Rate (LFPR) = Labour force/working age population*100

Employment-to-Population Ratio = employed/working age population*100

5. Example (Hypothetical)

Total working-age population: 1000

Labor force: 600
Employed: 540
Unemployed: 60
Unemployment rate =60/600*100=10%